

Formation

Limited liability partnerships are formed when a general partnership files a **statement of qualification** with the appropriate public official. The conversion of the partnership must be approved by a majority of the ownership. The statement includes the name and street address, an affirmative statement electing to become an LLP, an effective date, and the signatures of at least two of the partners. Some states also require a filing to inform tax authorities of the existence of the entity. Once approved, the filing becomes part of the public record.

LIMITED LIABILITY PARTNERSHIPS (LLPs)

LO 28-8

Articulate the legal protections from personal liability afforded to the principals in an LLP.

Most states recognize limited liability partnerships through their partnership statutes. Recall that the chief danger of being a general partner is the amount of potential liability for acts of other general partners or the debts and liabilities of the partnership itself. LLP statutes provide general partnerships with the right to convert their entity and gain the protective shield ordinarily afforded only to limited partners or corporate shareholders. Although the origins of LLP laws are rooted in the protection of professional service firm partnerships (law, accounting, etc.), the use of LLPs is much more widespread now as some family businesses have also used the LLP form as a way to handle issues unique to the transition from one generation to another.



Hereo/Pixabay/Getty Images
Members of an LLP can prevent disputes from occurring by planning for events, such as death or dissociation of a member, in their operating agreement.

Liability

Of all of the business entities that we have discussed thus far, the LLP has the greatest variance of liability protection under state law. While the general idea behind being an LLP is that all partners have liability protection for debts and liabilities of the partnership, some states impose conditions on these limits. In cases where a partner has engaged in some misconduct or tortious conduct (such as negligence), the LLP acts to shield only the personal assets of *other* partners—never the partner who committed the misconduct or negligence.

In [Case 28.3](#), a federal appeals court analyzes the potential personal liability of partners after an LLP has been dissolved.

CASE 28.3: Dillard Department Stores, Inc. v. Damon J. Chargois and Celius P. Ernstner, 602 F.3d 610 (5th Cir. 2010)²

FACT SUMMARY

Chargois and Ernstner (C&E) were individuals who formed and registered a limited liability partnership to operate their law practice in 2002. In an attempt to solicit business, C&E developed a website in June 2003 that included a link using Dillard Department Stores' (Dillard's) corporate name and logo to advertise C&E's law firm. Dillard's subsequently sent C&E a letter demanding that they remove the link and threatening to sue them for trademark infringement, other piracy, and various business torts.

In 2004, while the litigation continued, Chargois and Ernstner executed a separation agreement that provided for dissolution of the partnership. C&E's registration as an LLP was not renewed for the 2004 year, and the firm was dissolved. However, the separation agreement provided that the firm would remain an LLP until the litigation was resolved, and no party was substituted on its behalf. On November 2, 2004, the court entered a final judgment ordering "Chargois & Ernstner, LLP" to pay Dillard's \$43,500.

Dillard's could not collect on the judgment because the entity had been dissolved and had no assets. Dillard's sought a declaration that the two principals were personally liable, jointly and severally, for the 2004 final judgment entered against C&E. Chargois and Ernstner argued that they were shielded from any personal liability or debt by the state LLP statute. The trial court granted judgment for Dillard's in the amount of \$43,500 against Chargois and Ernstner, jointly and severally, and each appealed.

SYNOPSIS OF DECISION AND OPINION

The U.S. Court of Appeals for the Fifth Circuit ruled in favor of Dillard's and held Chargois and Ernstner personally liable for the judgment owed to Dillard's. The court rejected arguments that the partners were insulated from liability because C&E's debt was incurred when the infringing website was created in June 2003, at which time C&E was still a registered limited liability partnership. Instead, the court found that the debt was incurred when the judgment was entered on November 2, 2004, at which time the LLP had lost its liability-limiting attributes and no longer protected Chargois and Ernstner.

WORDS OF THE COURT: Timing of a Liability

"Although the terms 'debt' and 'incurred' are not defined by the [statute], a plain reading of the statute's text supports Dillard's proffered interpretation. Neither partner was necessarily aware in June 2003 that displaying the Dillard's mark on the law firm website would ultimately lead to a partnership debt. The underlying conduct gave rise to the possibility of a future debt, but to say that a debt was 'incurred' at that time unrealistically distorts the meaning of the word. After all, [C&E's] conduct may have gone undetected. It may have been adjudged as tortious infringement of trademark rights only after the passage of time. The timing of the discovery of the conduct, not the timing of the conduct itself, determines when the debt was incurred. The district court entered judgment against [C&E] in November 2004, that a payable debt came into existence. It was then that [C&E] incurred the debt within the meaning of the provision."

Case Questions

- 1. Why did the court rule that the two partners were personally liable for the debt?
- 2. Could it be argued that the debt actually was incurred once CEE had notice that it had infringed on Dillard's trademark? Why or why not?
- 3. Focus on *Criticor Thinking*: Is it sound public policy to require that two partners who have agreed to separate be forced to continue the LLP's existence for a certain period of time? Is it necessary to protect creditors? Is there any other way to accomplish that goal?

Some states provide liability shields for LLP partners only when the liability arises from some negligence by another partner but not for other types of liabilities, such as those resulting from a breach of contract. For example, suppose that a state's LLP statutes provide for liability protection for partners when one partner acts negligently. Two accountants, Milton and Cowley, form a limited liability partnership called MC Tax Services LLP in this state. On behalf of the LLP, the partners sign a lease for space with Landlord and invest several thousand dollars from their own assets for startup capital. One year later, Milton commits a serious error on a client's tax return, and the client sues the firm for malpractice and obtains a \$50,000 judgment against the LLP. Because of the negative attention of this case, MC Tax Services loses several large clients and can no longer make its lease payments to Landlord, and the partnership dissolves. Assume that the judgment is not covered by insurance and exceeds the assets of the LLP. Under the law of this state, the client may pursue Milton's individual assets to pay the \$50,000 judgment but not Cowley's. The liability shield protects Cowley for any acts of his partner when the liability results from a *error* (in this case professional malpractice, a form of negligence). However, Cowley is still liable to Landlord for defaulting on the lease because the liability resulted from a *contractual* obligation.

Consider the plight of someone who has suffered damages due to another's negligence but cannot recover compensation because of the protection of an LLP. In the Milton–Cowley example, suppose that the client who was damaged by Milton's error cannot actually recover the judgment awarded because Milton is without assets. Because Cowley is not liable, the client is left with a court order that is worthless. To ensure that parties have at least some ability to recover, an increasing number of states require that the LLP and individual partners carry and maintain a certain amount of *liability insurance* as a condition of LLP formation.

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Taxation

LLPs are treated as pass-through entities. They are not subject to tax; any income is taxed only when it is distributed to its partners. Because it is not a taxable entity, an LLP files an information return that informs federal and state tax authorities of the profits and losses of the LLP. All income or losses are reported on the partners' individual tax returns. Any losses are deductible and may sometimes help to reduce taxes on other sources of revenue on the individual's tax return.

Capitalization

LLPs are capitalized in the same way as a partnership, through debt via private or commercial lenders or by a sale of partnership equity for ownership in the LLP itself. The partnership agreement of the LLP often controls the amount and methods of capitalizing the business and the procedures for collecting additional contributions from partners as necessary (a process known as a *capital call*). Additional capital contribution requirements are frequently the subject of a partnership agreement. There are some cases in which the partnership has the right to "call" for more money contributions from each partner in order to keep the partnership afloat. Although terms vary, partners that are not in a position to make a call contribution may be forced to sell their interest in the partnership.

Although not required by statute, limited liability partnerships will frequently have a partnership agreement that sets out the management and operational structure. LLPs are sometimes governed by one or more managing partners and/or some type of executive committee decided by the other partners. The day-to-day operations and powers of the partners and board of partners are spelled out in the partnership agreement as well. The election procedures, qualifications, compensation, meeting times, and other organizational matters are typically addressed in the partnership agreement. In most states, the default agreement is the governing RUPA or UPA provision.

TAKEAWAY CONCEPTS Limited Liability Partnerships (LLPs)

- Most states recognize limited liability partnerships through their partnership statutes.
- The general idea behind an LLP is that all partners have liability protection for debts and liabilities of the partnership, however, some states impose conditions on these limits.
- When a partner has engaged in some misconduct or tortious conduct (such as negligence), the LLP acts to shield only the personal assets of other partners.
- Some states provide liability shields for LLP partners only when the liability arises from some negligence by another partner but not for other types of liabilities, such as those resulting from a breach of contract.
- LLPs are treated as pass-through entities. They are not subject to tax; any income is taxed only when it is distributed to its partners.
- LLPs are capitalized in the same way as a partnership, through debt via private or commercial lenders or by a sale of partnership equity for ownership in the LLP itself. Personal financial contributions of partners may be required in partnership agreement.